Fair Trade Jewelry Co.

Consulting Report

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1.0 Executive Summary

Fair Trade Jewelry Co. (FTJCo) is a Toronto-based jewelry company founded in 2006 by Gambhir and Ryan Taylor. The company specializes in offering premium-quality, ethically sourced jewelry materials, with the aspiration of driving growth while maintaining its high sustainability standards in the supply chain. This report will examine FTJCo's strategic tensions and growth opportunities by utilizing Hambrick and Fredrickson's Strategy Diamond framework across arenas, vehicles, differentiators, staging, and economic logic. The report will also implement Business Model Canvas analysis, concentrating on customer segments, value propositions, and key resources. Additionally, the report will evaluate strategic integration through Sustainability, ESG, Innovation, and Entrepreneurship principles. By utilizing strategic corporations, effective technology integration will support FTJCo's growth ambitions, without compromising its ethical and environmental missions amongst the competitive jewelry market.

2.0 Firm Analysis

Hambrick and Fredrickson's Strategy Diamond

2.1 Arenas

FTJCo operates in the luxury jewelry accessories industry, targeting a niche, socially conscious and ethically minded consumers, especially among Millennials and Gen Z consumers (Zhang, 2024). Geographically, the company maintains a concentrated presence in North America, the nation that accounted for 44% of fine jewelry sales in 2024 (Euromonitor International, 2025). Accordingly, I recognize FTJCo not only gains access to a large customer base but is also positioned to drive continuous innovation through exposure to competitive markets (Reflection Week 10, Module 10.3).

2.2 Vehicles

FTJCo's product scope is delivered through a vertically integrated, direct-to-consumer model that operates in both physical and digital settings (Zhang, 2024), which allows for greater control over profit margins and brand reputation (Camarão, 2021, p.74). According to Flesher et al. (2024), 42% of jewelry sales in the US were purchased online by Gen Z in 2021 and are expected to grow at a 9-12% by 2025. Therefore, with the increasing popularity and rising global demand for e-commerce, FTJCo can further leverage its online sales to expand on a national and global scale.

Regarding partnerships, the company worked with an NGO, IMPACT, to source fully traceable gold material and connect conflict-affected areas to North America (Zhang, 2024). Additionally, the company cooperated with mining communities Oro Verde to import fair-trade resources, supporting community development and environmental protections (Zhang, 2024). The cooperation with suppliers and environmental groups further supports FTJCo's resource needs, preserving the brand differentiation of ethically sourced and traceable gold materials.

2.3 Differentiators

FTJCo's key differentiator is being a consistent first mover in North America to adopt ethical certifications (Zhang, 2024), showcasing its uncompromising commitment to sustainability and transparent sourcing processes. Additionally, FTJCo is one of the first in the world to integrate the Consensas blockchain diamond traceability platform (Zhang, 2024), strengthening its operational integrity and niche positioning itself at the forefront of technological innovation. As traceable diamonds are representing a key driver for jewelry purchase decisions (Flesher et al., 2024), FTJCo can increase its competitive advantage, setting the company apart from larger competitors that are slower to adopt verifications (Su et al., 2024).

2.4 Staging

Since its establishment, FTJCo has achieved major milestones, including becoming the first North American jeweler certified by Fairtrade in 2011 and Fairmined Gold in 2014, implementing Consensas blockchain technology in 2017, and adopting SCS-007 Certified Diamonds by 2023 (Zhang, 2024). This approach reflects an advanced in eco-efficiency strategy, which align with Orsato (2006) perspective that environmental innovation can create competitive advantage when it embedded into the operations, and not just short-term compliance. Accordingly, FTJCo's gradual and admission-consistent staging demonstrates a long-term commitment to environmental impact over chasing rapid market entry. This mission fidelity presented social innovations move beyond traditional sustainability, strengthening FTJCo's commitment to preserve measurable and verifiable practices.

2.5 Economic logic

The diamond jewelry market is predominantly controlled by large-scale retailers with extensive online presence, offering widespread accessibility and brand recognition (Euromonitor International, 2025). Therefore, distributing through a single physical store in Toronto (FTJCo., 2020) may limit FTJCo's geographic visibility and brand exposure. Consequently, FTJCo may face difficulty competing and penetrating its scalability with well-established retailers who dominate consumers through multi-channel distributions. Nevertheless, FTJCo can maintain profitability through its customer segment. By having a loyal customer base willing to pay prices commensurate with the jewelry's value (Zhang, 2024), FTJCo can implement a value-cost pricing strategy that prioritizes differentiation over price competition (Nagle et al., 2023). Studies indicated that 73% of Gen Z consumers are willing to pay 10% more for sustainable products (First Insight, 2020), allowing FTJCo to set its jewelry prices higher without losing its customer goodwill. These premium prices are justified through FTJCo's incomparable authority to address ethical implications and its high level of transparency that the company has built since its inception.

3.0 Business Model Canvas Analysis

3.1 BMC Table

Channels	- E-commerce and a physical store. - Vertical integration and in-house fulfilment.
Customer Relationships	- Provides highly personalized design consultations and product customization services (FTJCo., 2020). - Resonate with the values of sustainability-conscious customers.
Revenue Streams	- Make sales through the DTC model, online platform, and retail store. - Value-based pricing corresponds to the customer's valuation of jewelry accessories.
Key Activities	- Ethical sourcing. - Supplier authentication. - Manufacturing and customizing jewelry design. - Blockchain technology advancement. - Direct-to-consumer operations.
Key Partnerships	- Partnership with an IMPACT NGO, Fairmined, Fairtrade, and Oro Verde gold suppliers. - Cooperate with Consensas blockchain technology. - SCS Global Services for SCS-007 certification.
Cost Structure	- Value-driven. - High material cost to source fair-trade gold. - High labor costs due to its compliance with employee benefits requirements.

(Zhang, 2024)

3.2 Customer Segments

Research indicated that Millennials and Gen Z consumers held 75% of diamond jewelry share value (Rodrigues et al., 2024), with 40% of US women preferring to buy fair-trade diamonds (Zhang, 2024). Therefore, by having highly transparent and accountable brand values, I recognized FTJCo can strengthen its customer loyalty and brand compliance within this demographic (Reflection Week 6, Module 6.3). However, as FTJCo is facing extra prices in the new SCS Standard (Zhang, 2024), customer acquisition costs and DTC competition can challenge its profitability growth and maintain customer relationships (Das, 2023). In addition, FTJCo's premier jewelry product line could risk price-sensitive buyers, as Gen Z consumers highly prioritize cost-effectiveness and reasonable price when making purchase decisions (Mouly Potluri et al., 2024, p.76).

3.3 Key Resources

FTJCo supplies raw material from Fairtrade, Fairmined, Oro Verde and IMPACT through the "Just Gold" project (Zhang, 2024). While these suppliers provide ethical gold resources, FTJCo needs to cover a higher sourcing cost than the market price due to validation fees (Zhang, 2024). Competitors offering lower-priced eco-friendly alternatives can further pressure FTJCo's revenue sustainability and its market share proposition. Besides, while the Fairtrade Gold supply validations comply with FTJCo's ethics mission, the criticism of Fairtrade greenwashing through the mass balance initiative diluted traceability (Zhang, 2024), creating a misalignment between FTJCo's ethical value proposition and weakening consumer brand perception. Moreover, since Fairtrade and Fairmined are small-scale mining organizations (Zhang, 2024), FTJCo will be facing a limitation in production capacity. This may create supply chain vulnerabilities and prevent the company from achieving economies of scale, which is essential to strategically grow in a highly competitive jewelry market (Cogar, 2020).

3.4 Value Proposition

Orsato (2006) highlights the importance of eco-branding and building emotional loyalty through environmental sustainability. Accordingly, by providing jewelry products made from Fairmined gold and SCS Certified Diamonds, customers' purchases implicitly reinforce FTJCo's commitment to fair labor, ethically sourced materials, and social contributions to artisanal mining communities (Zhang, 2024). Moreover, FTJCo's mission-oriented demonstrated through making documentaries and engaging in public discourses (Zhang, 2024). By effectively transforming education into a value proposition, it raises customer awareness on the impact of responsible sourcing and sustainability-driven disruptors in the fine jewelry industry. Ultimately, FTJCo provides not only high-quality accessories but also fosters long-term product integrity and socio-environmental significance to consumers.

4.0 Sustainability, ESG, Innovation, and Entrepreneurship

FTJCo's business model has been shaped through incremental innovation, particularly in its early recognition of the transparency gap in diamond supply chains (Zhang, 2024). Accordingly, the implementation of blockchain technology to address this gap emphasizes an entrepreneurial mindset, aimed at advancing accountability across the jewelry industry and extending beyond its internal operations (Zhang, 2024). However, as larger competitors like De Beers have integrated blockchain at scale (De Beers, 2022), FTJCo's distinctiveness in its technology is being eroded and reducing its strategic value of first-mover advantage.

For instance, Brilliant Earth (BE), a US-based ethical jewelry retailer operating around the same time as FTJCo, has scaled up significantly by going public in 2021 (Zhang, 2024). BE also implemented a blockchain tracking system through the Everledger platform (Escobar, 2022), similar to FTJCo's strategy. Nevertheless, BE has faced scrutiny over the years regarding non-traceable diamonds due to its reliance on supplier assurances, without having third-party accreditations (Bosche, 2024). By comparison, FTJCo's deeper vertical integration and direct sourcing from mining communities give the company more control than larger competitors that still rely on suppliers' authentication. I recognized that FTJCo followed a differentiation-focused strategy in a homogeneous market (Reflection Week 2, Module 2.2). Instead of expanding rapidly and relying on ethical claims like BE, it ensures that each sustainability is verified through certifications from third parties. Accordingly, the externally assured ethical approach bolsters FTJCo's long-term brand trust, making it a key source of sustained competitive advantage amongst industry (Barney, 1991).

Furthermore, FTJCo adopts a circular production by using 100% recycled gold, and an exclusive hybrid model of sourcing 50% from recycled sources and 50% from small scale artisanal mines (Zhang, 2024). As such, 70% of recycled diamond jewelry is now sold as vintage pieces, alongside with current rising customers demand for vintage jewelry made by recycled materials (Flesher et al., 2024). FTJCo's close-looped system and hybrid circular model provide long-term value both environmentally and economically while fostering a resilient brand built on mission-driven innovation practices.

In addition, FTJCo demonstrates a strong commitment to ethical labor practices as a major component of its responsibility strategy. By choosing to work directly with artisanal miners and First Nations communities (Zhang, 2024), FTJCo aims to foster long-term social sustainability by creating supply chains that integrated into human rights and local community development.

5.0 Strategic Recommendations

Launching a Lab-Grown Diamond (LGD) collection can be a strategic way for FTJCo to balance sustainability with scalable expansion. According to AccessWire (2024), 38% of younger consumers prefer lab-grown over natural stone, and 70% of the US accounted for LGD market sales in 2024 (Euromonitor International, 2025). Therefore, by offering competitive prices for LGD collections alongside its existing offerings, FTJCo can attract a larger market segment without compromising its sustainability principles. Additionally, LGD has 80% lower costs than natural diamonds (Flesher et al., 2024), enabling FTJCo to offer more affordable price as well as reduce its high production costs of certified gold compliance fees.

In terms of financial viability, Zadiam (2024) indicates that establishing LGD production typically requires up to USD 2 million, which could be a substantial amount for medium-sized jewelers such as FTJCo (Zhang, 2024). Therefore, FTJCo could partner with VRAI, a globally recognized true-zero emission lab-grown diamond producer (Briggs, 2024), without the need for major capital investment. This partnership allows FTJCo to access LGD technology through a supply agreement, without diverting financial resources away from its core artisanal operations and sustainability initiatives. I recognize that the collaboration of technology integration would not only help FTJCo scale sustainably but also reduce time spent on supply chain authentication, enabling greater focus on increasing market sales and its commercial performance (Reflection Week 4, Module 4.7). Nevertheless, LGD is facing accusations of greenwashing due to the enormous amount of fossil fuel in its manufacturing process, posing high carbon emissions and significant energy consumption (The Better Diamond, 2023). As a result, by coordinating with LGD producers with certified renewable and neutral carbon electricity like VRAI, FTJCo can preserve its B-corp alignment while maintaining immediate responsiveness to market demand.

6.0 Conclusion

From the analysis conducted from this report, it is evident that FTJCo's ambition to scale while maintaining its social and environmental mission requires both promising opportunities and strategic challenges that require critical considerations. The jewelry products of FTJCo resonate strongly with a growing segment of conscious consumers in Canada, highlighting the company's effectiveness in expanding the brand's market reach and staying true to its sustainability commitment. However, the market is highly competitive and price-sensitive, dominated by major competitors that have adopted similar blockchain traceability technologies. As such, FTJCo may face significant challenges competing with its rivals due to limited scale operations, niche market focus and higher production costs. To sustain its scalability, FTJCo must implement key partnerships that comply with its brand values and leverage its customer demand by using LGD resources to maintain its market leadership in the jewelry industry.

In conclusion, FTJCo's growth strategy can be achieved without compromising its sustainability mission, but it requires the company to have a well-planned approach. By partnering with value-aligned corporations that priorities transparent operations and mission-driven branding, the company can scale effectively while reinforcing customer loyalty. With a continued focus on sustainability commitment, and effective technology implementation, FTJCo will be assured to sustain its position among major retailers in the jewelry industry, thereby ensuring brand resilience and long-term success.

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